each. So, totally 700 units are available. It means each unit has a small portion of all the 100 shares. The investor money is invested in these units. Their return depends on growth of all the 100 shares. In this way of investment, the small amount of money gets invested in many shares and not in single share. So the risk is spread out.

Hedge Funds

Hedge funds are similar to Mutual Funds. But in the case of Mutual Funds the fund is collected from public and invested by Mutual fund which is created by somebody else whereas in case of Hedge Funds it is not public but a handfull of investors who join together and form funds of their own and invest in different securities and use different investment strategies. These investors are sophisticated and financially well so, they do not need protection of SEBI and they are unregistered and unregulated.

Offer for Sale (OFS)

Offer for sale is also like FPO. While the FPO was to raise additional fund requirements, the OFS is to dilute the share holding of promoters in a listed company. As per the Securities Contract Regulations (Rules) 157 at least 25 per cent of all type of securities issued by a listed company should be in the hands of Public. To meet this requirement the companies approach public to sell their shares through OFS.

A Note on Commodity Exchange

The commodity exchange is a platform to buy and sell agricultural products, natural resources like iron ore, crude oil and precious metals like gold and silver.

There are many regional exchanges and six national exchanges. They are Multi Commodity Exchange (MCX), National Commodity and Derivatives Exchange (NCDEX), National Multi-Commodity Exchange (NMCE) and Indian Commodity Exchange (ICEX), the ACE